

Concentrated at the Summit

JUST 0.08% OF COMPANIES CORNERED TWO-THIRDS OF PRE-TAX CORPORATE PROFITS AND PAID THE LOWEST EFFECTIVE TAX RATES. CAN INDIA INC BROADEN THE PROFIT PIE?

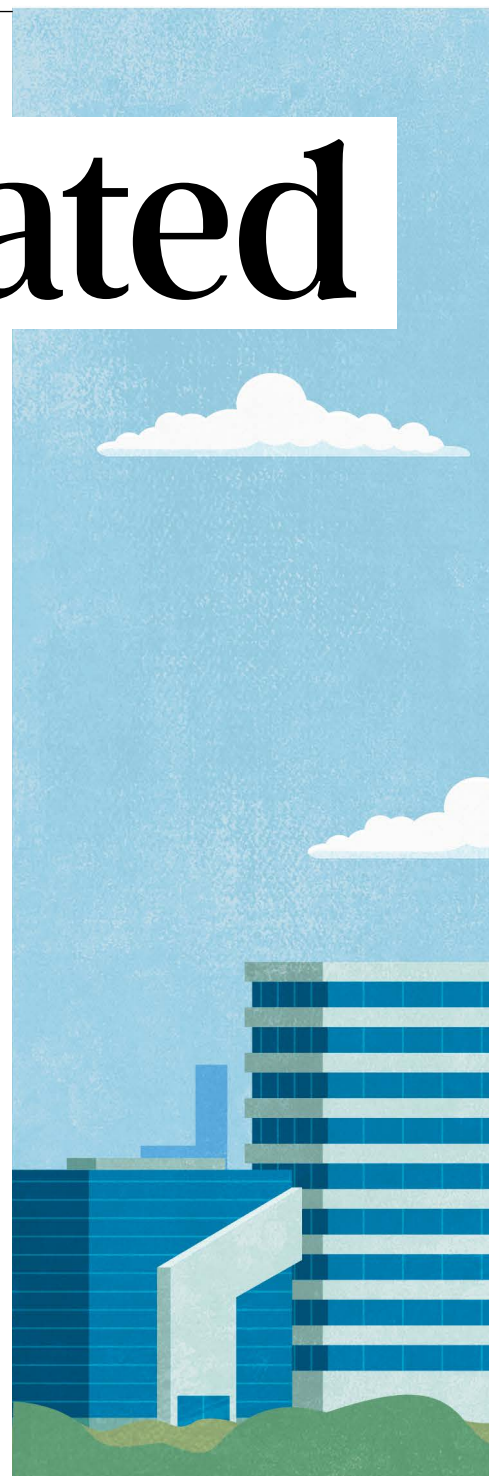
BY VIKRAM GOPAL

► **THE HEALTH OF** the Indian corporate sector has been a topic of considerable discussion in recent years, especially since capital expenditure by the private sector has been tepid even as the government has picked up the slack. This, despite repeated exhortations from Prime Minister Narendra Modi and Union Minister Nirmala Sitharaman for firms to invest and expand capacity domestically.

Economists had put that down

to a K-shaped recovery since the outbreak of the Covid-19 pandemic, where larger companies recovered faster from the slump than smaller ones.

Data presented in the Union Budget 2026-27 highlights the divergence. In FY24, nearly two-thirds of corporate profits were earned by just 0.08% or 877 of 1.13 million companies. These companies also paid the lowest effective tax rate. It is below the overall



HEALTH CHECK

+ Only 877 companies accounted for 65% of corporate profits before tax in FY24, marking a fresh high

+ Some economists suggest that it is time for the government to increase the tax rate at the top and spend more to broaden economic growth